

HF GROUP

2015 Results Briefing

February 25th 2016

2015 KENYA OVERVIEW

- GDP Growth of 5.5%.
- Inflation – Averaged at 6.8%, within the CBK target of 7.5%.
- Interest rates – High volatility experienced in Q2 and Q3. Government/CBK intervention eased the rates in Q4.
- Exchange rates – KSH depreciated by 12.9% during the year on the back of a global strengthening of the USD.
- Equity Markets – The NSE 20 share index shed 21%. HFG shed 25% against the Rights issue price of Shs 30.00. Listed Companies issued profit warnings.
- Imperial Bank saga.

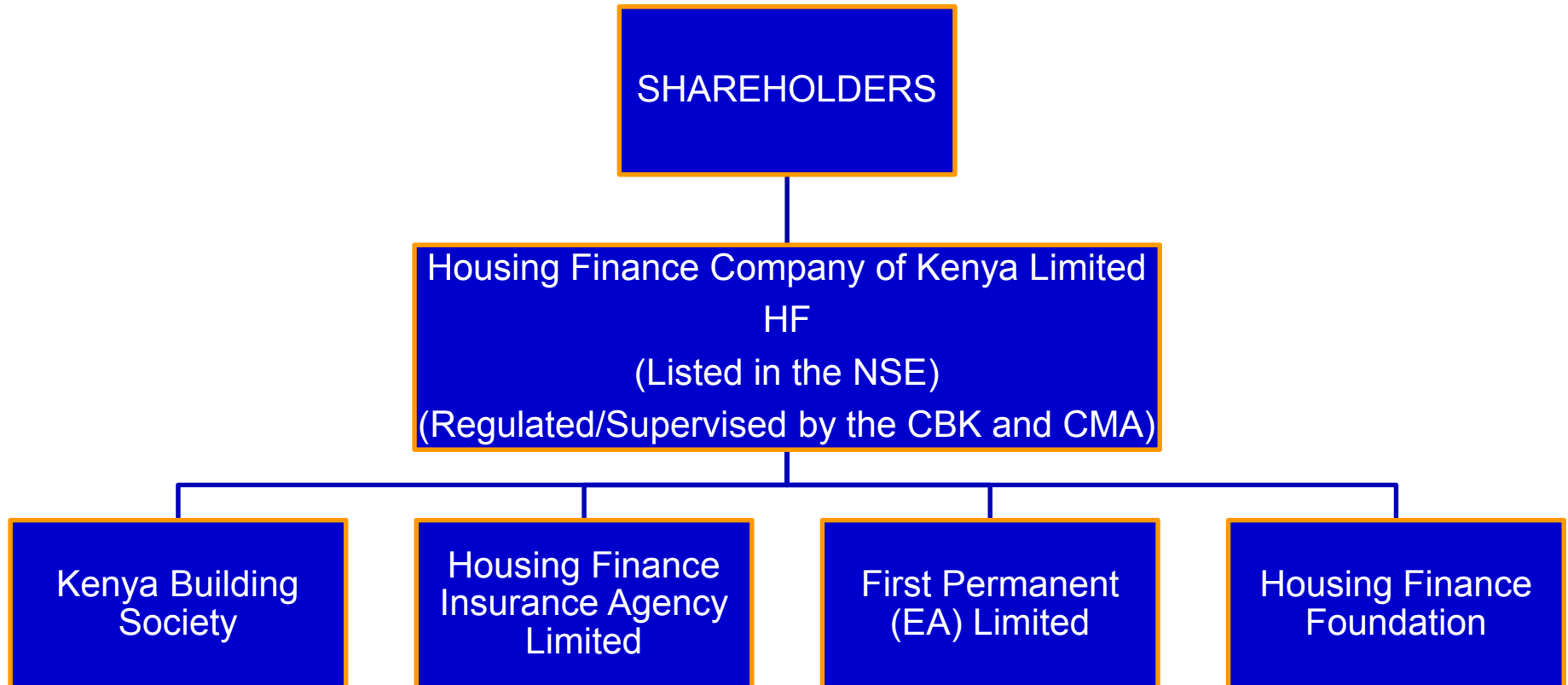
2015 KENYA OVERVIEW Cont.

- ❑ 5% Capital Gains Tax (CGT) introduced effective from 1st January 2015 – impact on property prices and trade at the NSE
- ❑ Moratorium on licensing of new banks imposed by the regulator
- ❑ Stricter rules on Audit on Banks and Banking systems

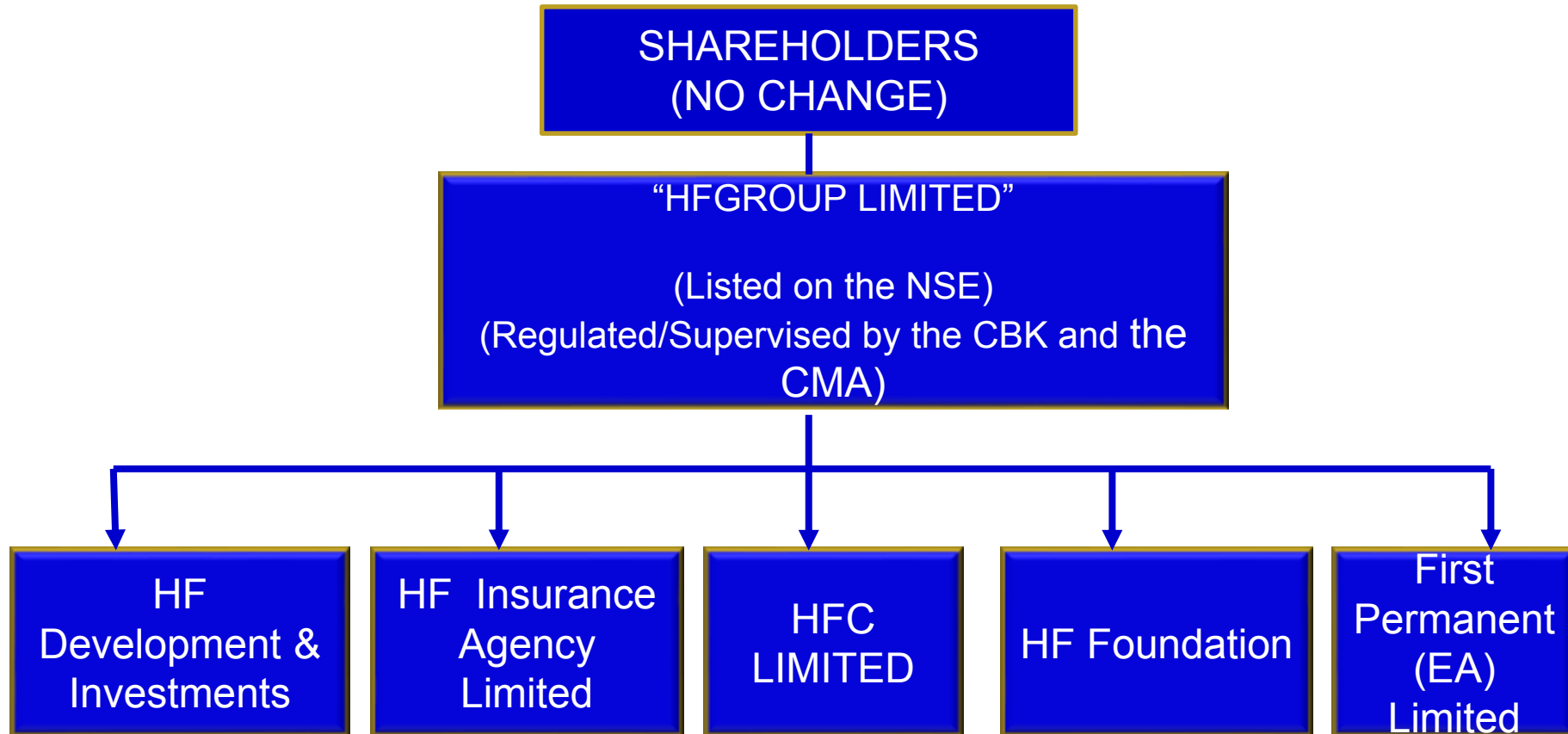
HF GROUP

2015 Key Activities

HF: Reorganization



HFG: Today



Re-branding from

Housing
Finance



Turning dreams into homes



Housing Finance is now HF GROUP

Mortgage & commercial
banking solutions



Property development
& investment solutions



Insurance solutions



Creating an army of 1 million artisans



The brand is about serving
clients within the financial and
property eco-system with new
capabilities

❑ Rights Issue – Ksh. 9.01 B vs. 3.5B Group Restructure

❑ Vision 2020

- a. Property Finance
 - b. Full Service Banking
 - c. Corporate Banking
 - d. Property Development
 - e. Bancassurance
- } HFC
- } HFDI
- } HFIA

❑ New Branches – Kisii & Kitengela



SOLAPAWA

Solar financing solution



Would you like to make savings on your power bills?

Invest in solar water heating through our SolaPawa financing solution.

Features include:

- 100% financing
- Flexible repayment period of up to 60 months
- Quick approval within 24 hours
- An all risk insurance cover for full tenure of the loan

Developers and Technicians Licensed by the Energy Regulatory Commission (ERC)

Call us toll-free: 0800 721 400
Email: mybank@hfgroup.co.ke

Terms and conditions apply



HFC is regulated by the Central Bank of Kenya
HFC is a wholly owned subsidiary of HF Group

New Products – Solapawa



HF GROUP DEVELOPMENTS



500 Residential Homes

Komarock Phase 5B





Precious Heights Phase 1



Kahawa Downs





K-Mall





Komarock Heights



HF GROUP

2015 AUDITED ACCOUNTS

February 2016

CONSOLIDATED BALANCE SHEET

DETAILS	2015	2014	%
	KShs '000'	KShs '000'	Change
Liquid Funds	12,118,207	11,889,804	2%
Good Book Loan Asset	50,818,422	42,547,378	19%
Net NPL Loan Asset	2,202,600	2,696,161	-18%
Other Assets	6,520,206	3,828,337	70%
	71,659,435	60,961,680	18%
Customers Deposits	41,665,085	36,105,929	15%
Borrowed Funds	18,540,375	17,143,112	8%
Other Liabilities	831,333	1,153,757	-28%
	61,036,793	54,402,798	12%
Share Capital	1,744,483	1,157,900	51%
Reserves	8,827,409	5,350,232	65%
GOK Income Notes	50,750	50,750	0%
	10,622,642	6,558,882	62%
	71,659,435	60,961,680	18%

CONSOLIDATED INCOME STATEMENT

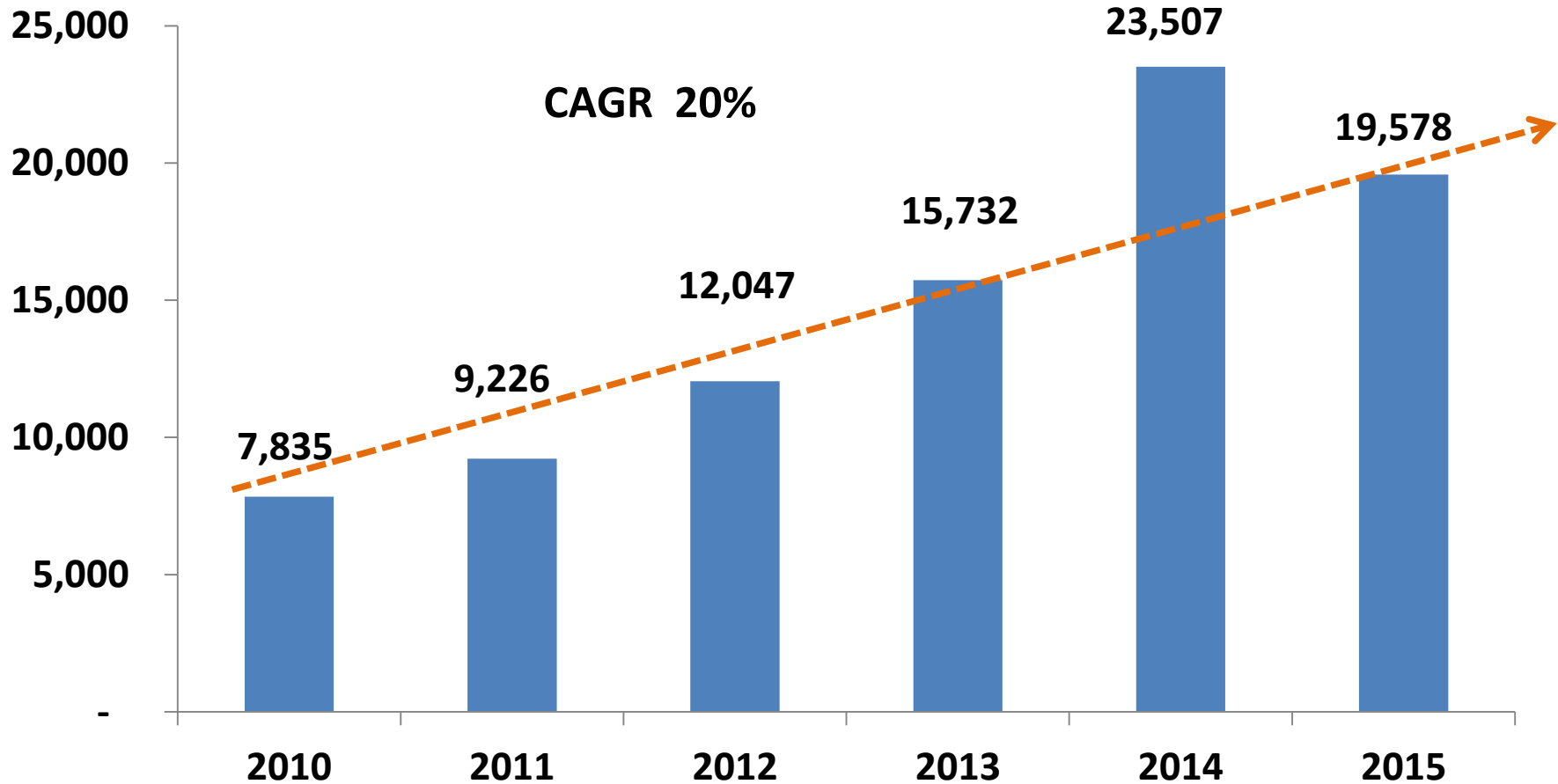
Details	2015	2014	%
	KShs '000'	KShs '000'	Change
Loans Interest Income	7,218,269	5,814,833	24%
Investment Income	879,867	586,696	49%
<u>Total Interest Income</u>	8,098,136	6,374,782	27%
Interest Expense	(4,486,182)	(3,340,803)	34%
Net Interest Income	3,611,954	3,033,979	19%
Interest Margin	4.84%	4.67%	0%
Impairment Losses On Loans	(503,771)	(551,219)	-9%
Net Interest Income After Provisions	3,108,183	2,482,760	25%
Non Interest Income	1,254,101	842,695	49%
Operating And Administrative Expenses	(2,608,766)	(1,924,802)	36%
<u>Profit Before Taxation</u>	1,753,518	1,400,653	25%
Taxation	(556,548)	(425,317)	31%
Net Profit After Tax	1,196,969	975,336	23%
Earnings Per Share	3.43	4.21	-18%
Dividends Per Share	1.30	1.50	-13%
Total Number Of Shares	348,897	231,580	51%

RATIOS & PERFORMANCE INDICATORS

Details	2015	2014
Liquidity	28.04%	30.76%
Core Capital (KShs '000')	8,094,702	4,840,577
Core Capital to Deposits	19.32%	13.33%
Single Obligor (KShs '000')	2,023,676	1,210,144
Cost Income Ratio	53.84%	49.18%
Return on Equity	11.27%	14.87%
Return on Assets	1.67%	1.60%
Weighted Average Cost of Funds	7.01%	7.32%
Net NPLs to Net Mortgage Asset	3.64%	6.02%
Additional Lending Capability (KShs '000')	13,299,785	16,992,427
Additional Deposit Taking (KShs '000')	59,296,250	24,196,746

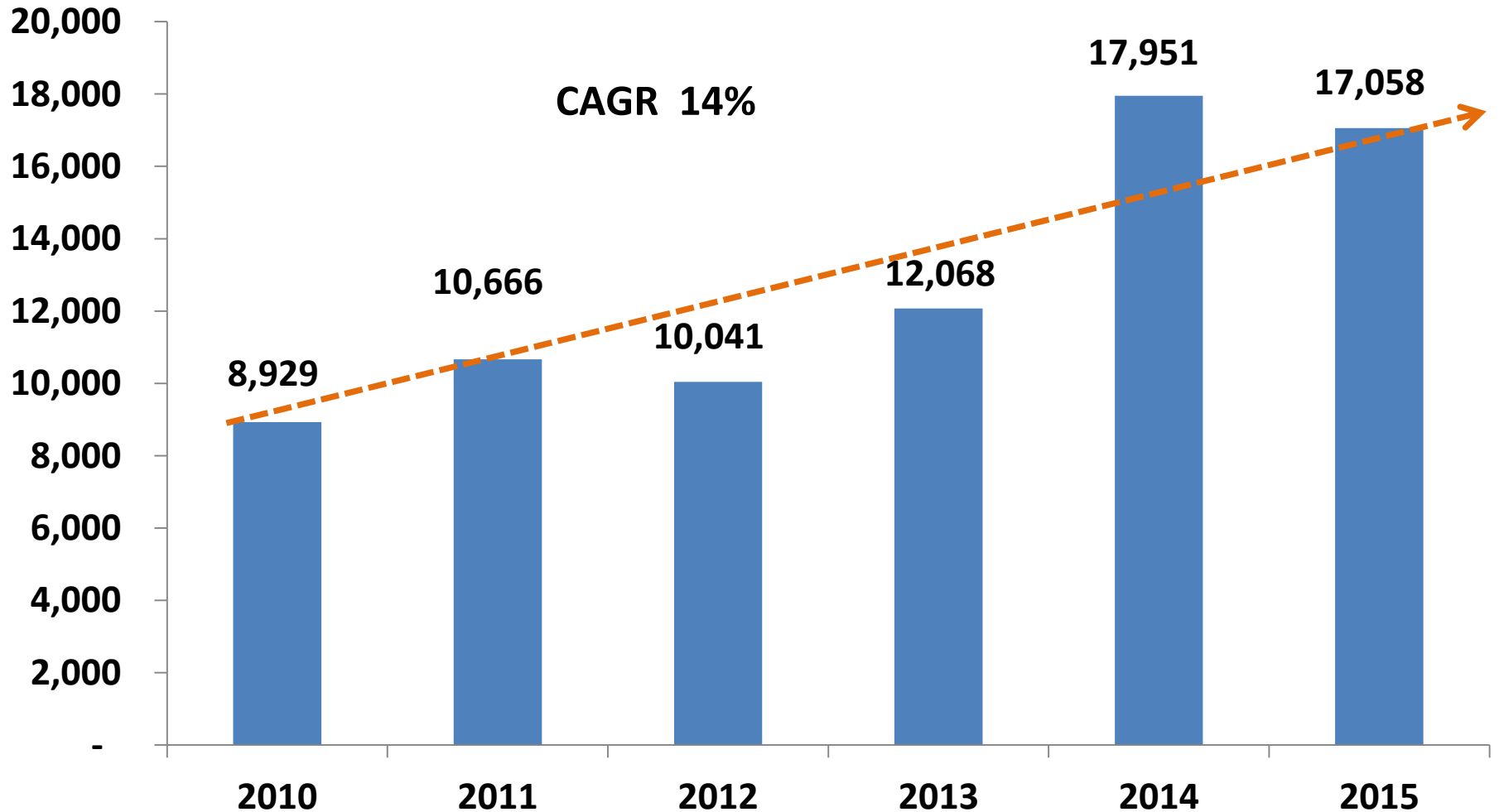
Financial Highlights

Loan Sales - KShs 'M



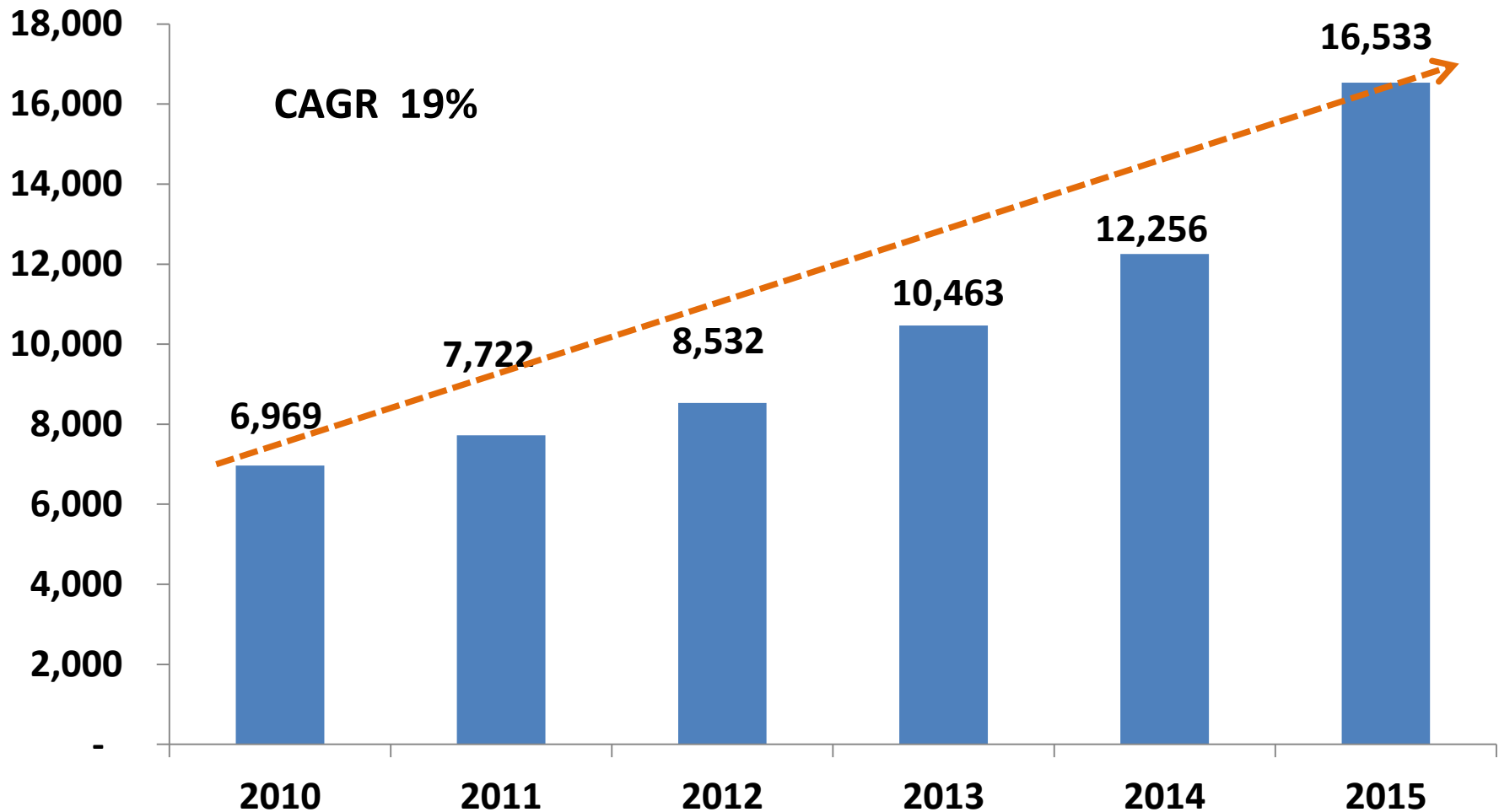
Financial Highlights

Disbursements - KShs 'M



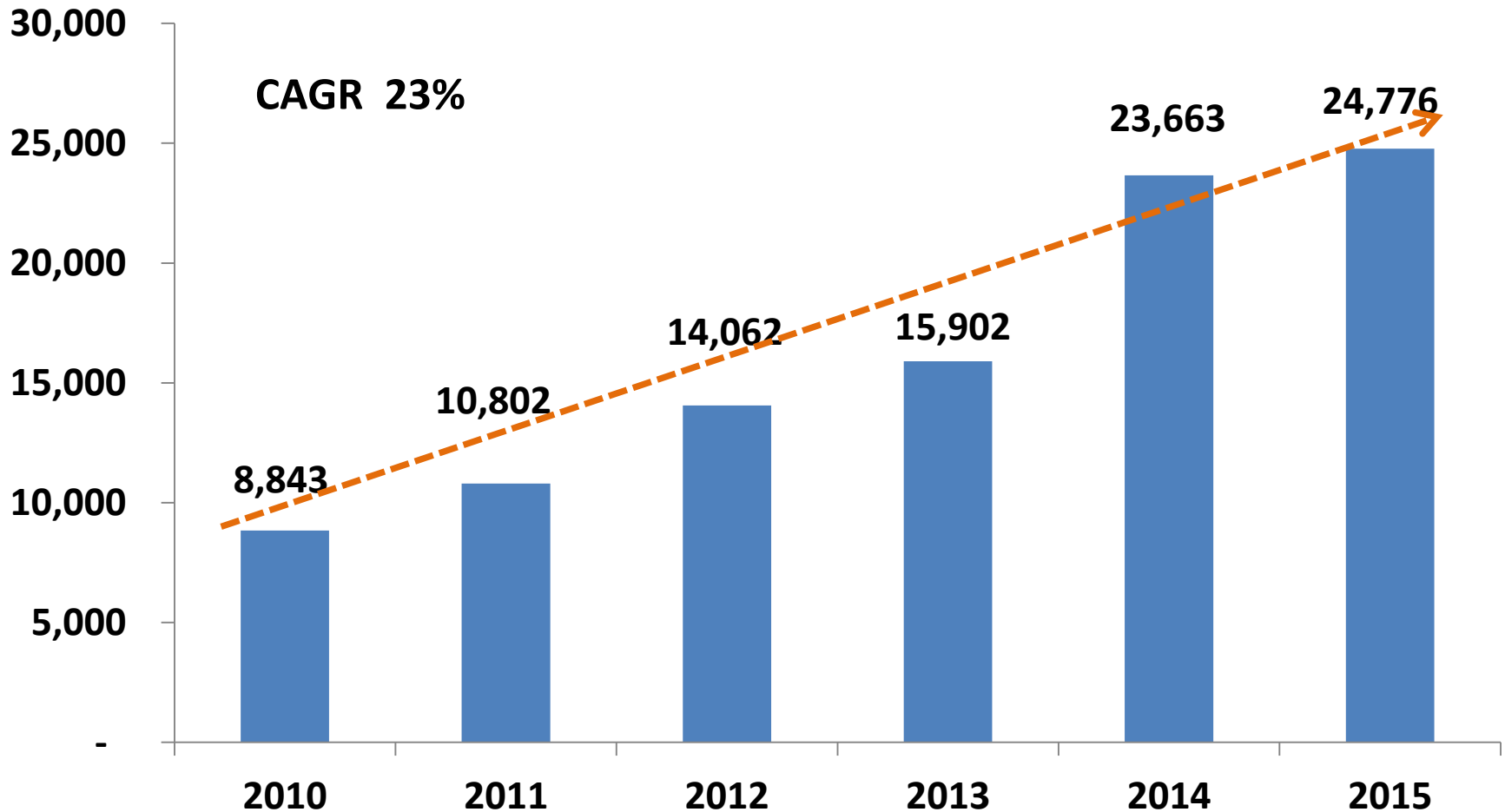
Financial Highlights

Retail Deposits - KShs 'M



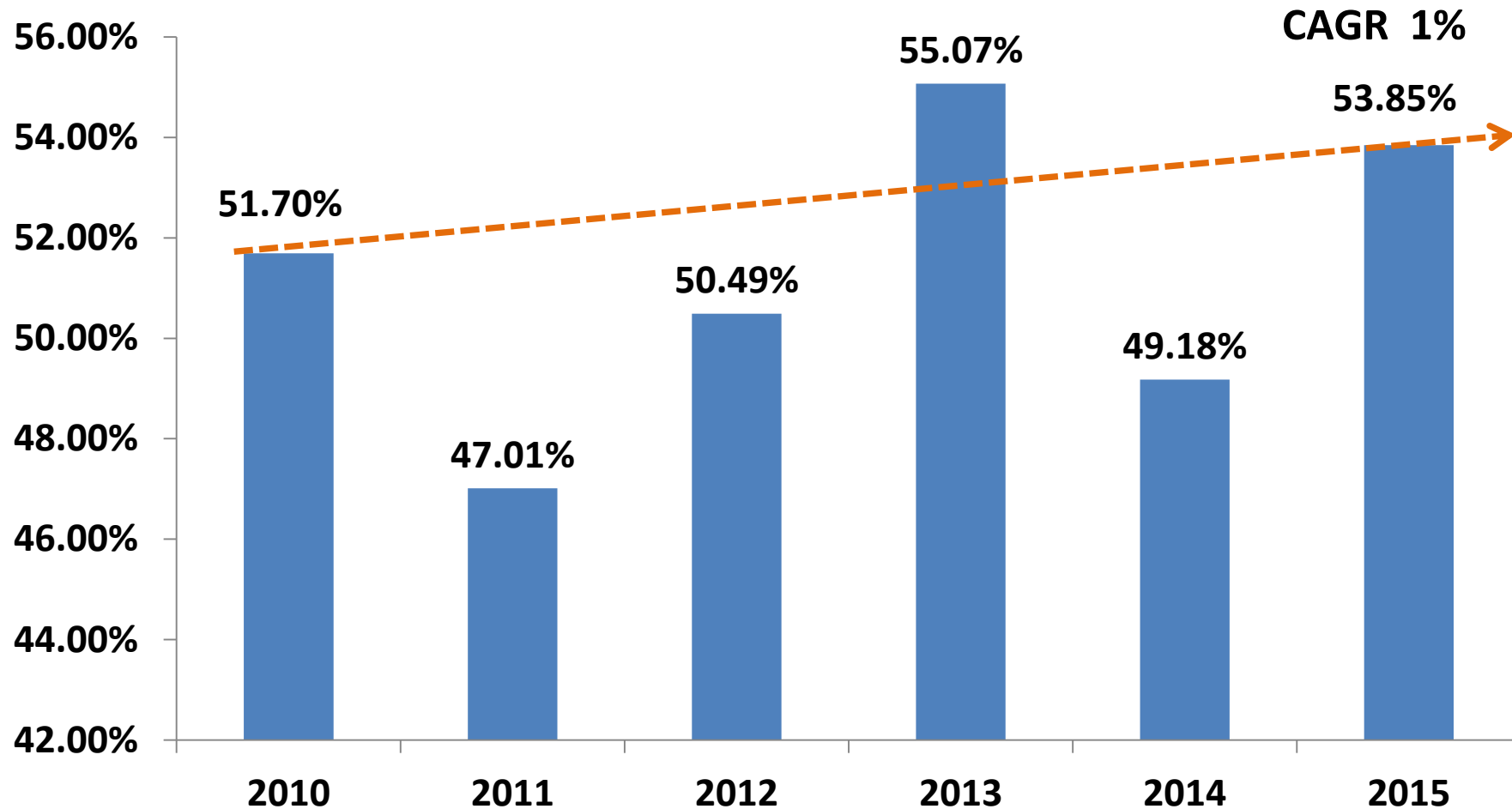
Financial Highlights

Corporate Deposits - KShs 'M



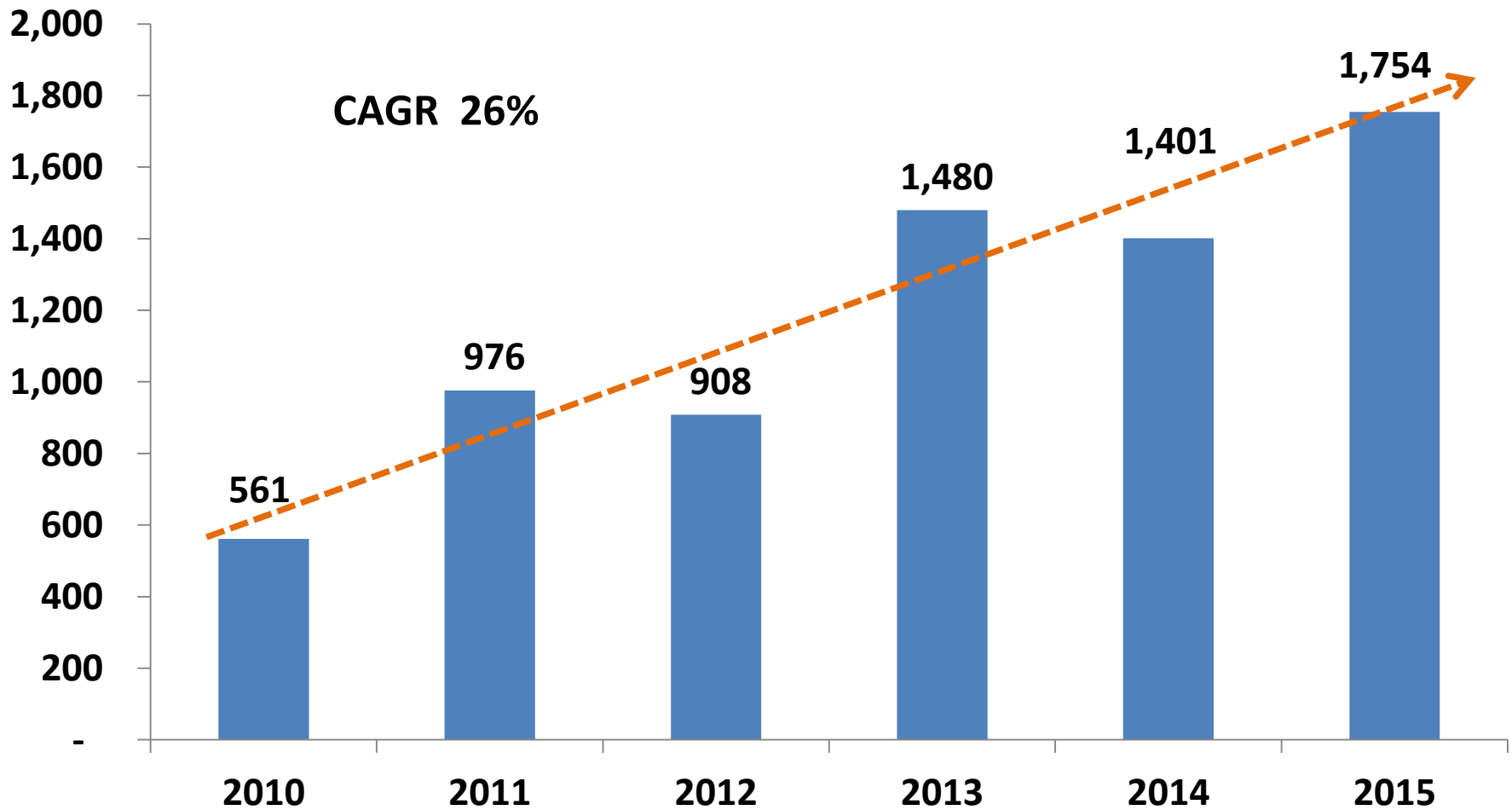
Financial Highlights

Cost:Income ratio (Exc. Provisions)



Financial Highlights

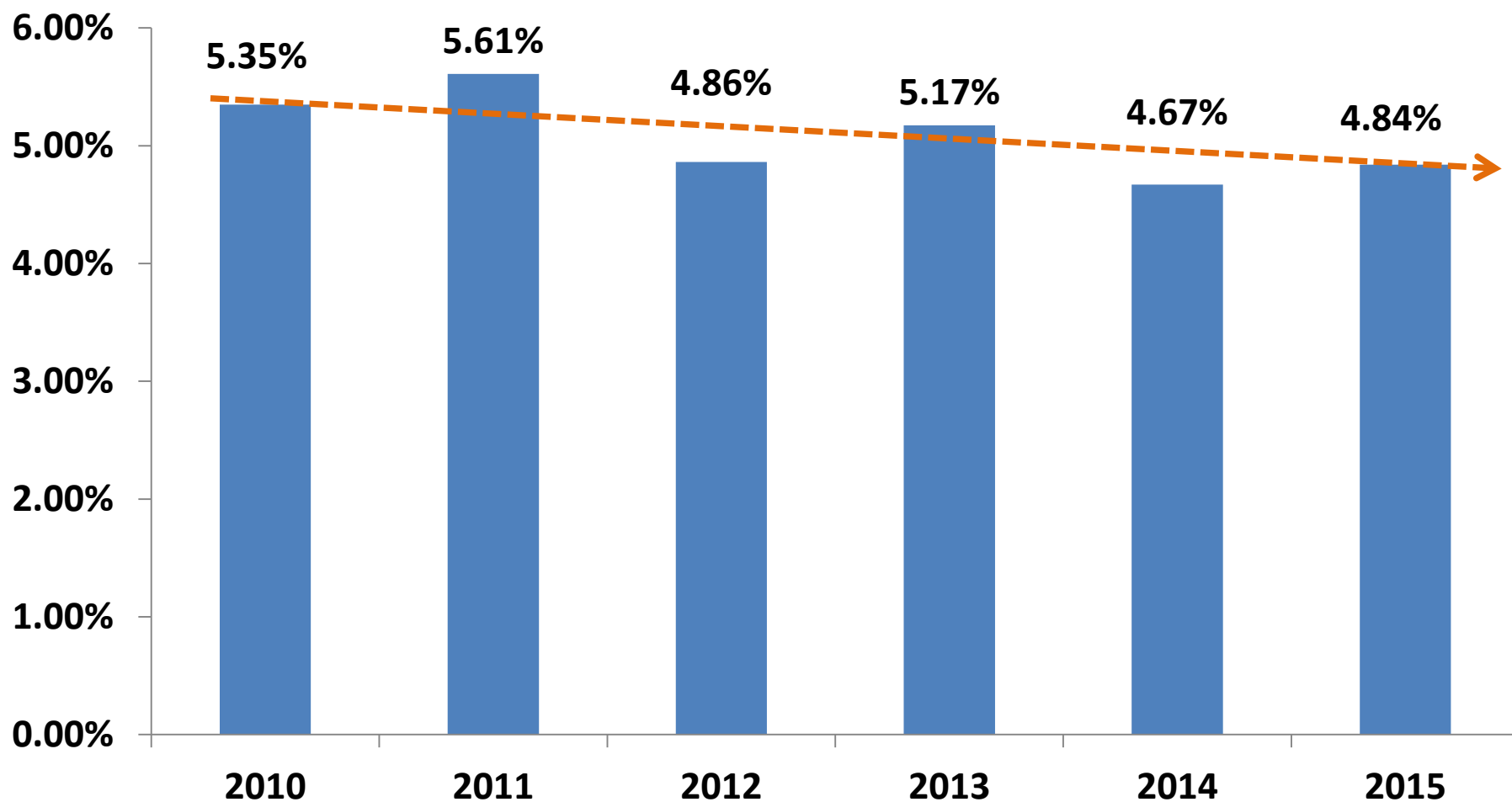
PBT - KShs 'M



Financial Highlights

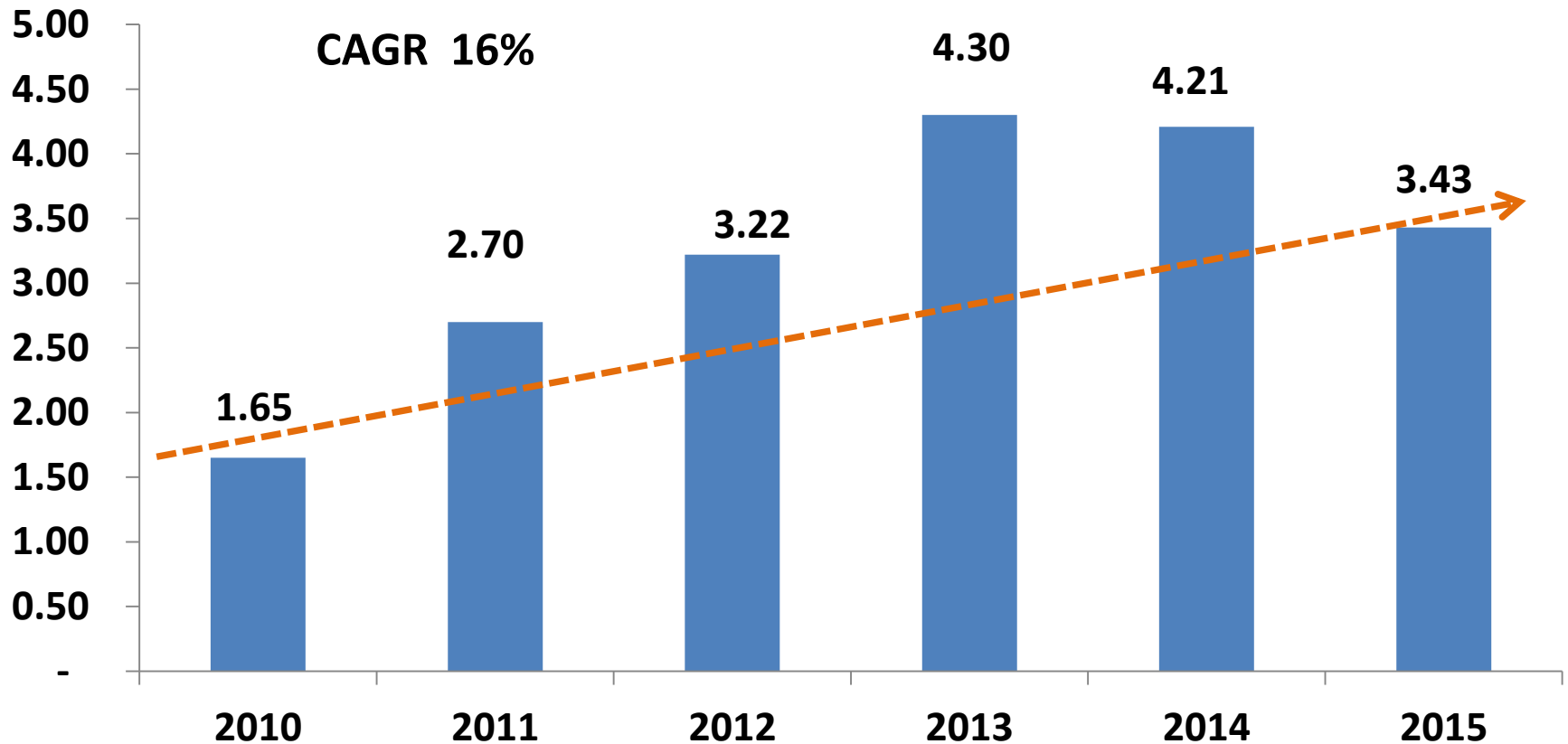
CAGR -2%

Interest margin



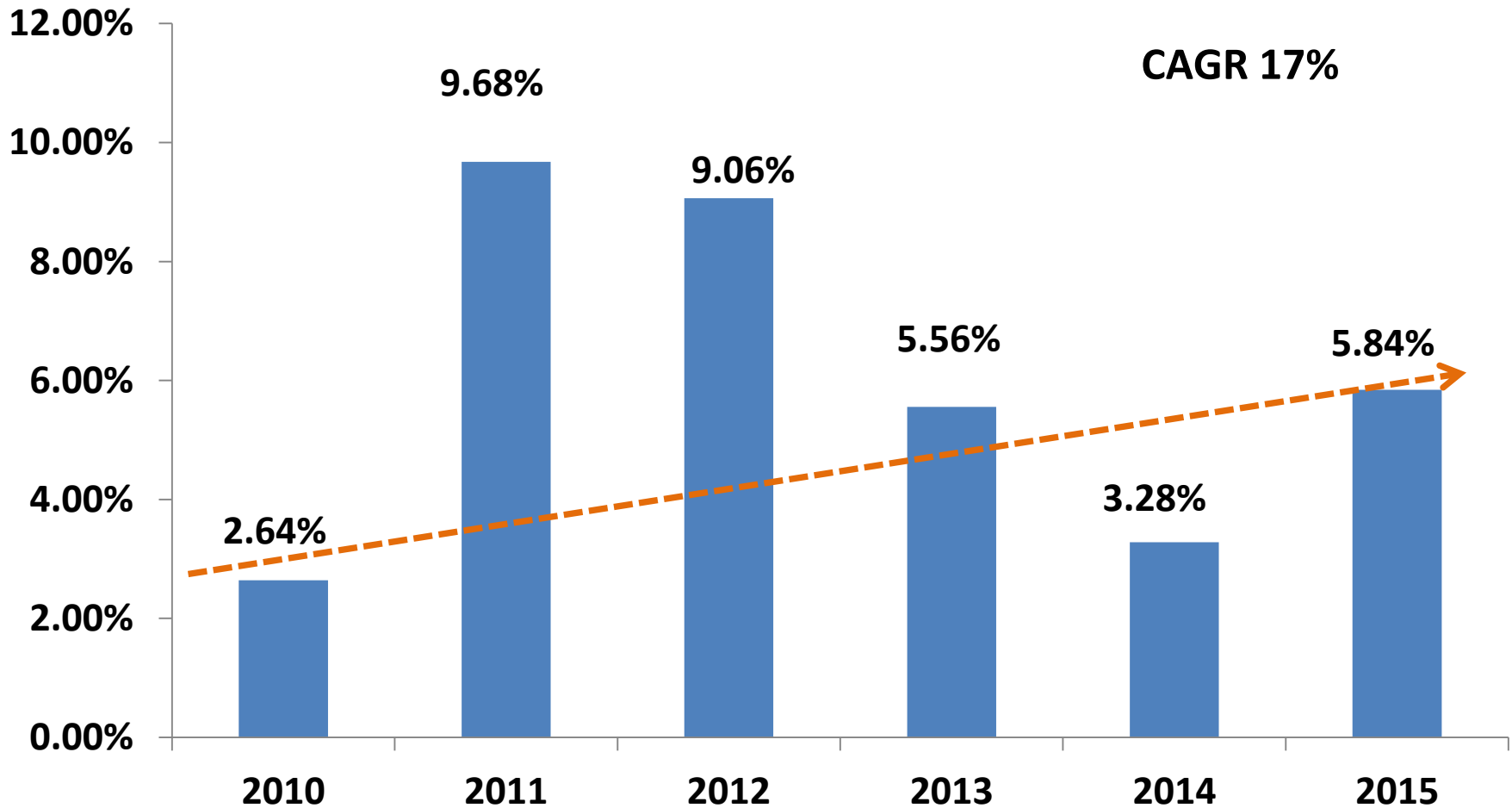
Financial Highlights

Earnings per Share



Financial Highlights

Dividend Yield



2016 OUTLOOK

- ❑ Economic Outlook – expected to remain stable at 5.5%
- ❑ Inflation – expected to remain in the upper band of the Governments medium target of 5% and 7.5%
- ❑ Interest Rates – expected to remain high on the back of Government spending and upcoming elections
- ❑ Exchange rate – expected to trade between the 102-108 level.

2016 Strategic Activities

□ Vision 2020

- a. New Branches – Hurlingham, Machakos, River Road, Komarock, Nanyuki & Ongata Rongai
- b. Digital Strategy
- c. New Products – Internet Banking, Mobile App & Debit Card
- d. Property Development – Precious Heights Phase II, Theta Grove, Clayworks (1,500 units)

□ Core Banking System – Stabilization, Benefits realization

□ Regional Opportunities

Question & Answer

